

Contestant Number: _____

Time: _____

Rank: _____



ADVANCED ACCOUNTING (110)

STATE 2023

CONCEPT KNOWLEDGE:

Multiple Choice (25 @ 2 points each) _____ (50 points)

APPLICATION KNOWLEDGE:

Account Identification (10 @ 3 points each) _____ (30 points)

Short Answer (13 @ 3 points each) _____ (39 points)

Job 1 – FIFO/LIFO/Weighted Average _____ (30 points)

Job 2 – Financial Statement Analysis _____ (32 points)

Job 3 – Adjusting Entries _____ (28 points)

TOTAL POINTS _____ **(209 points)**

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 90 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimals at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. In a period of falling prices, which method of inventory costing produces the highest net income?
 - A. FIFO
 - B. LIFO
 - C. Weighted Average
 - D. Production Unit Costing
2. Cruise Inc buys its own common stock on the NYSE. What account is debited?
 - A. Cash
 - B. Common Stock
 - C. Dividends
 - D. Treasury Stock
3. Showing the percentage change of total assets from 2022 to 2023 on a Balance Sheet is what type of analysis?
 - A. Ratio
 - B. Consistent
 - C. Horizontal
 - D. Vertical
4. What section of the Statement of Cash Flows would show purchasing a machine?
 - A. Operating
 - B. Investing
 - C. Financing
 - D. Stockholders' Equity
5. Sasha Collier initially invests \$40,000 cash into a partnership. She also donates a computer and printer with a value of \$1,500. Kayley Thompson initially invests \$30,000 into the partnership. What is the credit to Sasha's Capital account?
 - A. 1,500
 - B. 40,000
 - C. 41,500
 - D. 70,150
6. What advantage does common stock ownership give over preferred?
 - A. 1st right to dividends
 - B. Voting rights
 - C. Management of the company
 - D. Guaranteed return on your investment

7. What ratio shows the relationship of stockholders' equity to liabilities?
 - A. Return on Debt Ratio
 - B. Return on Sales Ratio
 - C. Debt Ratio
 - D. Debt to Equity Ratio
8. If you receive cash for rental revenue that has not yet been earned, what is the debit?
 - A. Cash
 - B. Rent Revenue
 - C. Unearned Rent
 - D. Prepaid Rent
9. What does double taxation means with the corporate form of business organization?
 - A. Income is taxed at the corporate level and also at the owner level in the form of tax on dividends.
 - B. Corporations pay twice the amount of tax as individuals do for the same amount of income.
 - C. Income is taxed at the corporate level and also for the employees in the form of income tax.
 - D. Corporations must pay income tax twice a year.
10. On the reversing entry for accrued interest income, what is the debit?
 - A. Interest Expense
 - B. Interest Income
 - C. Interest Receivable
 - D. Interest Payable
11. Signing a promissory note would appear in what section of the Statement of Cash Flows?
 - A. Operations
 - B. Investing
 - C. Financing
 - D. It would not appear in the Statement of Cash Flows.
12. If a partnership suffered a net loss, how would the loss be distributed?
 - A. Equally
 - B. According to the split of net income in the partnership agreement
 - C. According to the original investment of all partners
 - D. Losses simply reduce Retained Earnings, and therefore not distributed.
13. The depreciation method that has percentages determined by the IRS is _____.
 - A. straight-line.
 - B. sum-of-the-years-digits.
 - C. double-declining balance.
 - D. MACRS.

14. Using the Straight-line method of depreciation each year is an example of the _____ accounting concept.
- A. Historical Cost
 - B. Business Entity
 - C. Realization of Revenue
 - D. Consistent Reporting
15. What effect does returning merchandise bought on account have on net income?
- A. Decreases net income
 - B. Increases net income
 - C. Has no effect on net income
 - D. Decreases net income once the item is sold
16. Receiving a promissory note from a customer _____.
- A. increases one asset and decreases another.
 - B. decreases total assets.
 - C. increases total liabilities.
 - D. increases expenses.
17. Shipping terms where the title passes to the buyer when the seller ships the goods is called FOB _____.
- A. shipping point.
 - B. delivery.
 - C. Consignment.
 - D. destination.
18. Which of the following accounts, when increased, would increase the EPS?
- A. Capital Stock – Common
 - B. Capital Stock - Preferred
 - C. Paid in Capital in Excess of Par
 - D. Treasury Stock
19. What is the difference in current and long-term debt?
- A. Current liabilities are due now, long-term are due after a year.
 - B. Current liabilities are due in the next month, long-term are due in the next year.
 - C. Current liabilities are past-due, long-term are not yet due.
 - D. Current liabilities are due within the next year, long-term are due after a year.
20. When are dividends 1st journalized?
- A. When authorized
 - B. When declared
 - C. On the date of record
 - D. When paid

21. What concept is represented by recording an accrued expense?
- A. Business Entity
 - B. Historical Cost
 - C. Consistent Reporting
 - D. Matching Expenses with Revenue
22. Swartz Supplies Inc has 1,000 outstanding shares of \$100 par, 5% preferred stock. If the corporation authorizes a dividend, what would be the dividends per share for the year?
- A. \$5.00
 - B. \$100.00
 - C. \$5,000.00
 - D. \$100,000.00
23. Obtaining capital by borrowing money for a period of time is called what?
- A. Debt financing
 - B. Equity financing
 - C. Establishing a line of credit
 - D. Receiving a promissory note from a customer
24. What statement is divided into operating, financing, and investing sections?
- A. Statement of Changes in Stockholders' Equity
 - B. Balance Sheet
 - C. Detailed Income Statement
 - D. Statement of Cash Flows
25. Which of the following accounts has a normal credit balance?
- A. Prepaid Rent
 - B. Unearned Rent
 - C. Rent Expense
 - D. Cash Short and Over – short position

Account Identification – 30 points

Directions - For each account, identify the classification (Asset, Liability, Stockholders' Equity, Revenue, Cost of Merchandise, Expense) the Financial Statement(s) the account appears on (Income Statement, Statement of Stockholders' Equity, or Balance Sheet, put more than one where applicable), and the normal balance of the account. (1 point each)

Account	Classification (A, L, SE, R, CM, E)	Financial Statement (IS, SOSE, BS, None)	Normal Balance (Dr, Cr, None)
Unearned Rental Income			
Land			
Fees Revenue			
Purchases Discount			
Income Summary			
Paid-in Capital in Excess of Par - Preferred			
Wages Payable			
Goodwill			
Capital Stock - Preferred			
Dividends Payable - Preferred			

Short Answer Problems – 39 Total points

- Simpson Entertainment Corp. has 15,000 shares of 8%, \$20 par value preferred stock. In addition, there are currently 180,000 shares of \$30 par value common stock outstanding. On March 18th, the Board of Directors declares a \$60,000 annual dividend.
 - What is the total dividend paid to all preferred shareholders? _____
 - What is the total dividend paid to all common shareholders? _____
 - How much will be paid for each common share of stock? _____
 - What accounts will be debited on March 18th? _____

2. On March 23rd, 2023, TWA purchased a new jet for \$97,000,000. The jet is expected to fly 20,000,000 miles during its 30-year life, at which time the expected salvage value will be \$2,000,000. During 2023 the jet flies 685,000 miles. The company uses the Units-of-Production method of depreciation on the jet.
- a. What is the depreciation per mile for the jet? _____
 - b. How much depreciation will be recorded for 2023? _____
 - c. What is the book value of the plane at the end of 2023? _____
 - d. After accumulating 9,400,000 miles of flight, the jet is sold during 2035 for \$38,500,000. Does this transaction result in a gain or loss? _____
 - e. How much is the gain or loss? _____
3. Symone Johnson and Carrie Smith form a partnership at the beginning of 2023. Initially, Symone contributes \$50,000 in cash as well as computers with a market value of \$5,000, and Carrie contributes \$30,000 in cash along with furniture and supplies with a total market value of \$15,000. During the year Symone withdraws a total of \$14,500 in cash, and Carrie withdraws a total of \$11,300 in cash. Carrie also withdraws Supplies worth \$1,000. The partnership earns a net income for 2023 of \$21,900. The split of profits is in the same ratio as the initial investment of each partner.
- a. What is Symone's percentage of the partnership's profit/loss? _____
 - b. What is the profit/loss ratio for Carrie Smith? _____
 - c. What is the ending 2023 capital balance for Symone? _____
 - d. What is the ending 2023 capital balance for Carrie? _____

Job 1 – FIFO/LIFO/Weighted Average - 30 points – Each answer worth 2 points

Selected data for one model of Tess Outdoor Furniture is shown below. Complete the table below using the Periodic FIFO, LIFO, and Weighted Average methods of inventory costing.

Beginning merchandise inventory – 25 units @ \$41.15 each

Purchase on March 14th – 15 units @ \$38.60 each

Purchase on June 2nd – 20 units @ \$33.15 each

Purchase on October 12th – 35 units @ \$31.94 each

Purchase on December 6th – 15 units @ \$36.17 each

Ending merchandise inventory – 33 units

Sales - \$10,650

Inventory Costing Method	FIFO	LIFO	Weighted Average
Cost of Merchandise Available For Sale			
Ending Inventory			
Cost of Merchandise Sold			
Gross Profit			
Gross Profit Percentage			

Job 2 – Financial Statement Analysis – 32 total points – Each answer worth 4 points

Directions – Wainwright Electronics, Inc. shows the following General Ledger balances after adjusting entries are posted. Use these balances to find the financial information below. Round percentages to the nearest tenth of a percent. Beginning merchandise inventory = \$101,020.

Cash - \$81,230	Sales - \$280,690
Accounts Receivable - \$12,320	Sales Discounts - \$1,945
Allowance for Uncollectible Accounts - \$780	Purchases - \$110,655
Dec 31 Merchandise Inventory - \$106,370	Purchases Discount - \$1,435
Supplies - \$6,410	Advertising Expense - \$2,500
Prepaid Insurance - \$6,000	Rent Expense - \$3,600
Accounts Payable - \$18,590	Insurance Expense - \$1,200
Capital Stock – Common - \$65,000	Salary Expense - \$76,210
Retained Earnings – \$75,105	Supplies Expense - \$9,265
Dividends - \$2,000	Federal Income Tax Expense - \$27,245

Find the following:	a. Net Sales	_____
	b. Gross Profit	_____
	c. Gross Profit Margin	_____
	d. Net Income after Tax	_____
	e. Return on Sales	_____
	f. Total Assets	_____
	g. Ending Retained Earnings	_____
	h. Debt to Equity Ratio	_____

Job 3 – Adjusting Entries – 28 Total Points – 4 points per transaction

Adjustment information for Callahan Sports Inc. is shown below. Analyze the information and journalize the adjusting entries as of December 31, 2023. Record the letter of the transaction in the 1st column of the journal.

- a. Supplies had a beginning balance of \$1,500. During the year \$10,450 worth of supplies were purchased. The ending balance equals \$3,640.
- b. Equipment costing \$9,600 was purchased on September 29th, 2023. The equipment has a 5-year life, and a salvage value of \$1,600. The company uses the double-declining balance method of depreciation.
- c. Callahan Sports paid \$12,000 for a six-month advertising contract with a local radio station on December 1st, 2023.
- d. A customer signed a 90-day promissory note for an outstanding accounts receivable balance of \$5,500 on October 22nd, 2023. The note has an interest rate of 6.5%. No interest has been recorded as of December 31st.
- e. The December utility bill of \$2,875 will be received in January.
- f. Callahan rents out extra storage space for Rental Revenue. A customer rented a storage bin on November 1, 2023, for three months, paying \$2,700 up front. No revenue has been recorded through December 31st.
- g. Callahan renewed their six-month insurance policy on the store as of December 1st at a cost of \$12,000 for the six months, all of which was paid on December 1st.

Transaction Letter	Description	Debit	Credit
Dec 31	Adjusting Entries		
a.			
b.			
c.			
d.			
e.			
f.			
g.			